

Tencent Holdings (0700.HK)

2Q26 review: Unique moats with a more aggressive capex ramp-up for long-duration AI initiatives; Buy

0700.HK 12m Price Target: **HK\$670.00** Price: **HK\$461.60** Upside: **45.1%**

Tencent's broadly in-line results (our first take) have centered around a few key themes: **(+)** resilient/better-than-expected core business growth (ads & domestic games) and core business profit growth (+19% yoy in core EBIT), **(-)** higher-than-expected capex intensity (and rental prepayments) for AI compute, which we expect to step-up further over 2H26 (with our lifted Rmb210bn CY26E capex, prior: Rmb151bn) as the company prioritizes compute for own AI model training and applications, instead of renting out (AI Cloud), and **(+/-)** focuses on long-duration AI franchise products, Hy-family model training (aiming for SOTA, Hy4 and Hy5) and AI-native applications (To-B WorkBuddy & To-C Weixin Xiaowei, both leading in user interactions/future user scale). While we are encouraged by a more proactive (aggressive) approach on AI capex by Tencent (a shift from previously seen as being conservative vs. ByteDance/Alibaba), we believe the long-duration AI investments (over immediate monetization via. AI Cloud renting-out, similar to AWS/Alibaba Cloud) have led to concerns on near-term EPS pressure, as investors draw parallels with US Internet peers (such as Meta's investment cycle 1-2 quarters ago, Meta's 4Q25 review, 1Q26 review) where sentiment turnaround will hinge on more progresses of Hy model, WorkBuddy/CodeBuddy and Xiaowei initiatives.

We lay out five key investor focuses and our takeaways post the results call on 1) AI capex and compute resource allocation, with our 2026-28E capex lifted to Rmb210bn/245bn/247bn (prior Rmb151bn/165bn/174bn), 2) Strategy roadmap for Hy model, AI products and Weixin Agent Xiaowei, 3) ROI of AI cloud, and the potential for strategic pivot referencing US peers, 4) 2H26 games growth trends, with resilient domestic growth to offset soft int'l growth, and 5) Advertising AI-driven upside, where we lift 2H ads growth to 18% (prior: 17%). Accordingly, we fine-tune our 2026-27E revenue estimates by 0-1%/net profit by -1%~-4% on higher new AI products investments, with our SOTP-based 12-month target price revised to HK\$670 (prior: HK\$700), where we update our

BUY

Ronald Keung, CFA

+852-2978-0856 | ronald.keung@gs.com
Goldman Sachs (Asia) L.L.C.

Lincoln Kong, CFA

+852-2978-6603 | lincoln.kong@gs.com
Goldman Sachs (Asia) L.L.C.

Steve Qiu

+852-2978-2672 | steve.qiu@gs.com
Goldman Sachs (Asia) L.L.C.

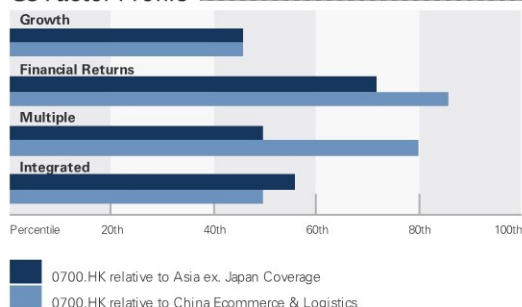
Key Data

Market cap: HK\$4.5tr / \$570.3bn
Enterprise value: HK\$4.6tr / \$590.3bn
3m ADTV: HK\$15.0bn / \$1.9bn
China
China Ecommerce & Logistics
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	751,766.0	828,387.4	902,531.1	977,283.7
Revenue (Rmb mn) Old	751,766.0	823,183.3	895,420.8	973,560.2
EBITDA (Rmb mn)	350,662.0	367,319.8	424,300.0	493,105.3
EPS (Rmb) New	28.09	29.73	31.19	34.42
EPS (Rmb) Old	28.09	30.07	32.55	35.94
P/E (X)	17.7	13.4	12.7	11.5
P/B (X)	4.0	2.7	2.3	2.0
Dividend yield (%)	1.0	1.3	1.4	1.5
CROCI (%)	31.5	30.0	27.2	24.7
	3/26	6/26	9/26E	12/26E
EPS (Rmb)	7.36	7.43	7.91	6.96

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Tencent Holdings (0700.HK)

Rating since Apr 2, 2012

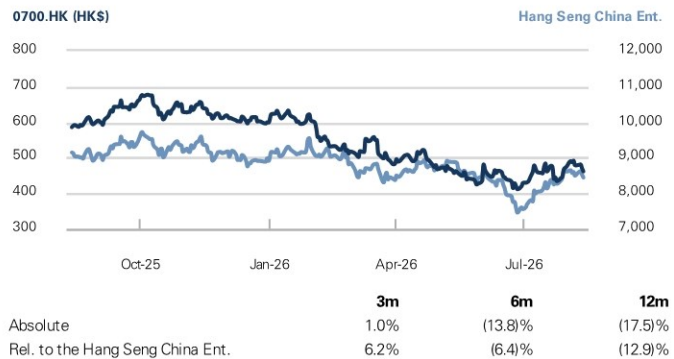
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.7	13.4	12.7	11.5
P/B (X)	4.0	2.7	2.3	2.0
FCF yield (%)	4.7	3.7	3.7	4.6
EV/EBITDAR (X)	14.8	11.1	9.6	8.1
EV/EBITDA (excl. leases) (X)	14.8	11.1	9.6	8.1
CROCI (%)	31.5	30.0	27.2	24.7
ROE (%)	24.4	21.9	19.5	18.4
Net debt/equity (%)	0.2	3.3	4.0	3.3
Net debt/equity (excl. leases) (%)	0.2	3.3	4.0	3.3
Interest cover (X)	—	—	—	—
Days inventory outst, sales	0.0	0.0	0.0	0.0
Receivable days	23.8	23.5	24.2	24.9
Days payable outstanding	233.1	229.8	225.2	219.4
DuPont ROE (%)	20.9	19.0	17.2	16.3
Turnover (X)	0.4	0.4	0.4	0.3
Leverage (X)	1.6	1.6	1.5	1.4
Gross cash invested (ex cash) (Rmb)	973,184.0	1,195,172.1	1,463,975.8	1,753,457.5
Average capital employed (Rmb)	1,186,847.0	1,391,015.9	1,640,002.9	1,895,914.6
BVPS (Rmb)	124.85	146.73	172.39	201.15

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	13.9	10.2	9.0	8.3
EBITDA growth	20.7	4.8	15.5	16.2
EPS growth	18.6	5.8	4.9	10.4
DPS growth	13.0	5.8	4.9	10.4
EBIT margin	37.9	35.8	35.1	36.1
EBITDA margin	46.6	44.3	47.0	50.5
Net income margin	34.5	33.1	31.8	32.4

Price Performance



Income Statement (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	751,766.0	828,387.4	902,531.1	977,283.7
Cost of goods sold	(329,173.0)	(356,749.9)	(384,731.1)	(413,236.9)
SG&A	(145,995.0)	(184,265.6)	(210,603.2)	(221,171.4)
R&D	(85,747.0)	(115,974.2)	(135,379.7)	(141,706.1)
Other operating inc./exp.)	6,991.0	13,893.0	1,886.9	1,981.2
EBITDA	350,662.0	367,319.8	424,300.0	493,105.3
Depreciation & amortization	(66,028.0)	(70,985.7)	(107,807.9)	(140,584.8)
EBIT	284,634.0	296,334.1	316,492.1	352,520.5
Net interest inc./exp.)	16,909.0	17,685.5	20,157.9	21,987.2
Income/(loss) from associates	23,740.0	25,000.0	24,000.0	24,000.0
Pre-tax profit	277,249.0	306,880.3	314,449.7	351,495.2
Provision for taxes	(47,448.0)	(53,839.1)	(62,156.2)	(70,084.0)
Minority interest	(4,959.0)	(5,454.9)	(6,000.4)	(6,600.4)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	259,626.0	274,295.4	287,355.9	316,615.6
Post-tax exceptionals	34,784.0	26,709.2	41,062.9	41,804.8
Net inc. (post-exceptionals)	224,842.0	247,586.2	246,293.0	274,810.8
EPS (basic, pre-exception) (Rmb)	28.58	30.25	31.74	35.03
EPS (diluted, pre-exception) (Rmb)	28.09	29.73	31.19	34.42
EPS (basic, post-exception) (Rmb)	24.75	27.30	27.20	30.40
EPS (diluted, post-exception) (Rmb)	24.32	26.83	26.73	29.88
DPS (Rmb)	4.92	5.21	5.47	6.03
Div. payout ratio (%)	17.2	17.2	17.2	17.2

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	141,041.0	96,532.0	77,098.1	80,815.4
Accounts receivable	49,930.0	56,544.0	63,294.8	70,195.4
Inventory	1.0	1.0	1.0	1.0
Other current assets	404,488.0	415,987.8	427,168.7	438,501.6
Total current assets	595,460.0	569,064.9	567,562.6	589,513.5
Net PP&E	159,575.0	325,005.5	499,906.0	647,947.6
Net intangibles	228,338.0	230,233.6	224,313.2	216,831.4
Total investments	342,409.0	367,166.0	391,923.0	440,680.0
Other long-term assets	713,204.0	773,310.7	839,116.7	911,188.9
Total assets	2,038,986.0	2,264,780.7	2,522,821.5	2,806,161.4
Accounts payable	217,623.0	231,519.7	243,216.2	253,587.9
Short-term debt	42,618.0	42,618.0	42,618.0	42,618.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	152,510.0	164,577.3	176,721.0	187,782.9
Total current liabilities	412,751.0	438,714.9	462,555.2	483,988.8
Long-term debt	126,204.0	126,204.0	126,204.0	126,204.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	258,966.0	258,966.0	258,966.0	258,966.0
Total long-term liabilities	385,170.0	385,170.0	385,170.0	385,170.0
Total liabilities	797,921.0	823,884.9	847,725.2	869,158.8
Preferred shares	—	—	—	—
Total common equity	1,154,152.0	1,353,982.8	1,588,183.3	1,850,089.6
Minority interest	86,913.0	86,913.0	86,913.0	86,913.0
Total liabilities & equity	2,038,986.0	2,264,780.7	2,522,821.5	2,806,161.4
Net debt, adjusted	27,781.0	72,290.0	91,723.9	88,006.6

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	224,842.0	247,586.2	246,293.0	274,810.8
D&A add-back	66,028.0	70,985.7	107,807.9	140,584.8
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	16,484.0	5,738.5	3,481.5	1,324.7
Other operating cash flow	220,540.0	269,825.0	270,318.2	275,655.9
Cash flow from operations	303,052.0	346,549.2	381,607.6	417,565.4
Capital expenditures	(87,482.0)	(209,582.0)	(245,488.5)	(247,252.8)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(118,250.0)	(100,099.1)	(108,308.3)	(117,102.5)
Cash flow from investing	(205,732.0)	(309,681.1)	(353,796.8)	(364,355.3)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(37,535.0)	(44,719.5)	(47,244.7)	(49,492.9)
Inc/(dec) in debt	113,557.0	—	—	—
Other financing cash flows	(164,820.0)	(36,656.0)	0.0	0.0
Cash flow from financing	(88,798.0)	(81,375.5)	(47,244.7)	(49,492.9)
Total cash flow	8,522.0	(44,507.3)	(19,433.9)	3,717.3
Free cash flow	215,570.0	136,967.2	136,119.2	170,312.7

Source: Company data, Goldman Sachs Research estimates.

international games multiple to 20X (from 24X) on slower growth. Maintain Buy.

Despite Tencent's near-term profit growth pressure from AI investment ramp-up, where we now estimate 4%/0% EPS growth for 3Q/4Q26E, we believe the year-to-date underperformance (-26%, despite recent rally from lows, having de-rated from 18X at the beginning of year to 13X 26E P/E) have already reflected the EPS compression/valuation contraction due to concerns on near-term estimate cuts and long-duration AI investments that will take time to prove out. We believe the next Hy model launches, WorkBuddy user retention/paying ratio metrics and Weixin Xiaowei adoption, alongside any renewed commitment to Tencent Cloud as China's Top 3 hyperscaler will be key share price drivers over the next 6-12 months.

We lay out key investor focuses and our takeaways post the results call below:

1) AI capex and compute resource allocation, as Tencent enters a heightened investment cycle at the infrastructure level (with FCF/FCF adj. for prepayments for compute procurement recorded at negative Rmb-13.8bn/Rmb37.6bn) with: i) prioritized compute investment for Hy model training, WorkBuddy/CodeBuddy, Yuanbao and Xiaowei inferencing, as well as Weixin's agentic AI roadmap; and ii) clear downside protection, as most of the investment is AI infrastructure which can be rented externally through Tencent Cloud at attractive prices if internal applications scale more slowly. With new AI product investment widening to Rmb10.5bn in 2Q26 from Rmb8.8bn in 1Q26, the key debate is the pace at which model/application/cloud monetization can offset depreciation and inference costs, as well as lump sum of fixed training costs/R&D going forward. **GS view:** We revise up our FY26-27E capex to Rmb210bn/245bn capex (vs. Rmb151bn/165bn prior) on the back of training requirements, proliferation of inference demand from MaaS/products, and an anticipated increase in supply of domestic ASICs into 2H26.

2) Strategy roadmap for Hy model, AI products and Weixin Agent Xiaowei: We estimate 3Q26E/FY26E investment in new AI products (primarily Hy, Yuanbao, CodeBuddy, WorkBuddy and Xiaowei) to expand sequentially to Rmb14bn/16bn, with management framing this as a dynamic but disciplined investment envelope with meaningful longer-term monetization potential across:

- **Hy's differentiation/model strategy:** as Hy3 showed meaningful improvement in real-world/agentic capabilities at superior cost efficiency vs. peers with larger parameter size, with the larger Hy4 (to launch later 2026) expected to enable more complex, higher-value workflows as another milestone before approaching SOTA performance.
- **Roadmap for WorkBuddy and CodeBuddy**, as leading productivity AI applications in China with strong subscription cash-receipt growth, where besides revenue contribution we highlight valuable data flywheel effects as user adoption provides valuable feedback data to enhance Hy iteration and further improve product capabilities.
- **Weixin Agent Xiaowei:** Xiaowei represents the longer-term opportunity to evolve Weixin into an AI-first ecosystem, supporting agent-led content discovery, service execution and eventually agent-to-agent transactions. We also introduce our updated framework to quantify Xiaowei incremental inference costs, where given

swinging blended 1M token pricing and user adoption rate, might take up 0-14% (Exhibit 6) of 2027 EBIT (with broadly manageable costs and margin upside onwards).

3) ROI of AI cloud: FBS revenue grew 9% yoy in 2Q26 as FinTech remains constrained, while cloud revenue growth accelerated to the low-twenties percentage range, driven by AI-related demand, international expansion and higher uptake of general cloud services. By August, Tencent Cloud MaaS platform TokenHub has reached 25trn daily token usage (up 5X in 2 months). AI demand is translating into GPU rental, MaaS and WorkBuddy/CodeBuddy-related revenue, while rising WorkBuddy subscription receipts are expected to contribute through 2H26. Management also flagged a more favourable cloud-pricing environment following price increases and lower discounts since May. **GS view:** We estimate 11%/10% FBS revenue growth for 3Q26E/FY26E (vs. 10%/10% prior) on continued cloud acceleration.

4) 2H26 games growth trends: Games revenue increased 11% yoy in 2Q26, with domestic games growth accelerating to 17% yoy, supported by Delta Force, VALORANT and Roco Kingdom: World. Delta Force and VALORANT PC both achieved lifetime-high average DAU during the quarter, while Roco Kingdom: World ranked among the highest-performing new mobile releases year-to-date. International games revenue was softer, declining 1% yoy on a reported basis, although increasing 4% yoy in constant currency as growth from Wuthering Waves and VALORANT PC was offset by weakness in certain Supercell titles. **GS view:** We estimate 10%/9% games revenue growth for 3Q26E/FY26E (vs. 10%/10% prior).

5) Advertising AI-driven upside: 2Q26 marketing services revenue accelerated to 22% yoy, from 20% in 1Q26, driven by both higher eCPM and impressions with AI-enhanced recommendation, upgraded automated campaign management through AIM+ and stronger monetization loop from Video Accounts and Mini Programs. Video Accounts remains the key inventory opportunity, with total time spent up more than 20% yoy while ad load remains below industry levels. We continue to view Tencent's content, advertising, Mini Program, Mini Shop and payment ecosystem as a differentiated closed-loop monetization advantage, with additional longer-term upside from deeper transaction conversion across the Weixin ecosystem. **GS view:** We lift marketing services revenue growth to 19%/19% for 3Q26E/FY26E (vs. 17%/18% prior).

Key risks: Below-expected progresses in AI initiatives; Higher-than-expected AI related investment; More intense industry competition in performance-based advertising, unexpected delays in game launches/Banhao approvals, moderated growth in FinTech and Cloud businesses, slower-than-expected AI development progress, reinvestment risk.

Financials & Valuation

Exhibit 1: Key numbers on capital expenditure and prepayments for compute procurement, and impacts on OCF/FCF

Rmb bn	2Q25	2Q26
EBIT	69.2	75.6
% yoy		9%
Operating Cash Flow	74.4	52.7
% yoy		-29%
(-) Capital expenditure payments	22.9	59.3
% yoy		159%
(-) Other Investing Cash Flow	8.5	7.2
Free Cash Flow	43.0	-13.8
FCF adj. for prepayments for compute procurement		37.6
Implied prepayments for compute procurement		51.4

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Tencent: Summary of changes

Rmb mn	New 2026E	chg %	New 2027E	chg %	New 2028E	chg %
Total revenues	828,387	0.6%	902,531	0.8%	977,284	0.4%
Net profit, non-IFRS	274,295	-1.1%	287,356	-4.1%	316,616	-4.1%
Diluted EPS, adj (Rmb)	29.73	-1.1%	31.19	-4.2%	34.42	-4.2%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Tencent financial summary

Income Statement (RMB mn)														
	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Value added services	298,375	319,168	369,281	391,980	418,901	445,920	92,133	91,368	95,860	89,920	96,110	98,414	102,345	95,111
Domestic gaming	126,600	139,600	164,300	183,524	200,008	216,376	42,900	40,400	42,800	38,200	45,400	47,300	48,406	42,418
International gaming	53,100	58,000	77,300	80,174	86,076	92,020	16,600	18,800	20,800	21,100	18,800	18,600	21,296	21,478
Social network	118,675	121,568	127,681	128,282	132,818	137,524	32,633	32,168	32,260	30,620	31,910	32,514	32,643	31,215
Marketing services	101,482	121,374	144,973	172,940	195,062	215,726	31,853	35,762	36,242	41,116	38,171	43,565	42,959	48,244
Others incl. FinTech & Business Service	209,158	219,715	237,512	263,467	288,567	315,638	56,036	57,374	60,767	63,335	62,177	62,806	66,957	71,527
Fintech	166,775	169,343	179,365	188,102	197,188	206,395	44,811	44,332	44,917	45,305	47,787	46,078	46,705	47,532
Business service/Cloud	36,988	42,613	50,070	65,269	80,879	98,322	10,096	11,204	13,257	15,513	12,098	14,208	17,581	21,382
Total revenues	609,015	660,257	751,766	828,387	902,531	977,284	180,022	184,504	192,869	194,371	196,458	204,785	212,261	214,883
Cost of revenues	(315,906)	(311,011)	(329,173)	(356,750)	(384,731)	(413,237)	(79,529)	(79,491)	(84,071)	(86,082)	(85,193)	(86,352)	(91,554)	(93,651)
Gross profit	293,109	349,246	422,593	471,637	517,800	564,047	100,493	105,013	108,798	108,289	111,265	118,433	120,708	121,232
Interest income	13,808	16,004	16,909	17,686	20,158	21,987	3,748	4,121	4,256	4,784	4,025	4,202	5,040	4,419
Other gains	4,701	8,002	(3,177)	4,142	4,513	4,886	(1,397)	(3,578)	483	1,315	1,253	(480)	1,486	1,883
Sales and marketing	(34,211)	(36,388)	(41,727)	(48,875)	(55,054)	(58,637)	(7,866)	(9,410)	(11,468)	(12,983)	(11,343)	(11,869)	(12,417)	(13,246)
General and administrative	(103,525)	(112,761)	(136,127)	(163,556)	(184,701)	(192,522)	(33,664)	(31,921)	(34,259)	(36,283)	(33,800)	(38,808)	(43,433)	(47,515)
Operating profit, IFRS	160,074	208,099	241,562	263,349	282,558	317,774	57,566	60,104	63,554	60,338	67,375	67,276	66,343	62,354
Operating profit, non-IFRS (excl. new AI products)			298,376	348,464	400,733	448,821	71,901	72,399	77,610	76,466	84,400	86,100	90,028	87,935
New AI products investments			(17,720)	(49,398)	(81,138)	(92,824)	(2,581)	(3,151)	(5,040)	(6,948)	(8,773)	(10,464)	(13,731)	(16,430)
Operating profit, non-IFRS	191,886	237,811	280,656	299,066	319,595	355,997	69,320	69,248	72,570	69,518	75,627	75,636	76,297	71,506
Taxation	(43,276)	(45,018)	(47,448)	(53,839)	(62,156)	(70,084)	(13,717)	(11,351)	(9,785)	(12,595)	(14,577)	(11,713)	(12,630)	(14,919)
Net profit, GAAP	115,216	194,073	224,842	247,586	246,293	274,811	47,821	55,628	63,133	58,260	58,093	56,022	62,278	71,194
Net profit, Non-GAAP	157,688	222,703	259,626	274,295	287,356	316,616	61,329	63,052	70,551	64,694	67,905	68,415	73,417	64,558
Diluted EPS, Non-GAAP (Rmb)	16.42	23.67	28.09	29.73	31.19	34.42	6.58	6.79	7.58	6.97	7.36	7.43	7.91	6.96
Revenue breakdown	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Marketing services	101,482	121,374	144,973	172,940	195,062	215,726	31,853	35,762	36,242	41,116	38,171	43,565	42,959	48,244
Online Gaming	179,700	197,600	241,600	263,698	286,084	308,396	59,500	59,200	63,600	59,300	64,200	65,900	69,702	63,897
Fintech	166,775	169,343	179,365	188,102	197,188	206,395	44,811	44,332	44,917	45,305	47,787	46,078	46,705	47,532
Business services	36,988	42,613	50,070	65,269	80,879	98,322	10,096	11,204	13,257	15,513	12,098	14,208	17,581	21,382
YoY	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Total revenues	10%	8%	14%	10%	9%	8%	13%	15%	15%	13%	9%	11%	10%	11%
Marketing services	23%	20%	19%	19%	13%	1%	20%	20%	21%	17%	20%	22%	19%	17%
Online Gaming	5%	10%	22%	9%	8%	8%	24%	22%	23%	21%	8%	1%	10%	8%
Domestic gaming	2%	10%	18%	12%	9%	8%	24%	17%	15%	15%	6%	17%	13%	11%
International gaming	13%	9%	33%	4%	7%	7%	22%	35%	43%	32%	13%	-1%	2%	2%
Social network	2%	2%	5%	0%	4%	4%	7%	6%	4%	3%	-2%	1%	1%	2%
Fintech	16%	2%	6%	5%	5%	5%	3%	9%	8%	4%	7%	4%	4%	5%
Business service	11%	15%	17%	30%	24%	22%	14%	16%	17%	22%	20%	27%	33%	38%
Cloud	6%	7%	8%	23%	19%	17%	4%	6%	7%	13%	14%	21%	25%	29%
Gross profit	23%	19%	21%	12%	10%	9%	20%	22%	22%	19%	1%	13%	11%	12%
Operating profit, non-IFRS	34%	24%	18%	7%	7%	1%	18%	18%	18%	17%	9%	9%	5%	3%
Operating profit, non-IFRS (excl. new AI products)				18%	15%	12%					17%	19%	16%	15%
Net profit, Non-GAAP	36%	41%	17%	6%	5%	10%	22%	10%	18%	17%	1%	9%	4%	0%
Diluted EPS, Non-GAAP (Rmb)	37%	44%	19%	6%	5%	10%	25%	13%	19%	18%	12%	9%	4%	0%
Margins	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Gross margin	48.1%	52.9%	56.2%	56.9%	57.4%	57.7%	55.8%	56.9%	56.4%	55.7%	56.6%	57.8%	56.9%	56.4%
Operating margin, IFRS	26.3%	31.5%	32.1%	31.8%	31.3%	32.5%	32.0%	32.6%	33.0%	31.0%	34.3%	32.9%	31.3%	29.0%
Operating margin, non-IFRS	31.5%	36.0%	37.3%	36.1%	35.4%	36.4%	38.5%	37.5%	37.6%	35.8%	36.8%	36.9%	35.9%	33.3%
Net margin, GAAP	18.9%	29.4%	29.9%	29.9%	27.3%	28.1%	26.6%	30.2%	32.7%	30.0%	29.6%	27.4%	29.3%	33.1%
Net margin, non-GAAP	25.9%	33.7%	34.5%	33.1%	31.8%	32.4%	34.1%	34.2%	36.6%	33.3%	34.6%	33.4%	34.6%	30.0%
Capex	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E
Capex	19,170	48,345	96,432	209,582	245,488	247,253	(27,476)	(19,107)	(12,983)	(19,632)	(31,936)	(52,784)	(60,284)	(64,578)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Our 12-m SOTP-based TP for Tencent is HK\$670 per share (prior: HK\$700), where we update our international games P/E to 20X (from 24X) to reflect the slower growth

USD to RMB	6.90 US\$ to Hk	7.80	670					
SUM of PARTS	% owned	Valuation US\$mn	To Tencent (US\$ mn)	To Tencent (Rmb mn)	Rmb/sh	HK\$/sh	% Val	COMMENT
CORE BUSINESS								
Entertainment	96.9%	359,333	348,176	2,402,415	260	294	44%	
Gaming	100.0%	332,368	332,368	2,293,339	249	281	42%	@ 20x PE, 26E
Domestic	100%	244,955	244,955	1,690,191	183	207	31%	@ 20x PE, 26E
International	100%	87,413	87,413	603,148	65	74	11%	@ 20x PE, 26E
Tencent Video	100%	3,127	3,127	21,573	2.3	2.6	0%	@ DCF (14% WACC, 5% g)
Tencent Music	52%	20,863	10,938	75,476	8.2	9.2	1%	GS target valuation
China Literature	57%	2,417	1,374	9,484	1.0	1.2	0%	Market cap
Huya	66%	558	369	2,543	0.3	0.3	0%	Market cap
Advertising (ex video)	100%	241,296	241,296	1,664,940	180	204	30%	@ 25x PE, 26E
FinTech (FiT) (x-WeBank)	100%	88,971	88,971	613,901	67	75	11%	@ 15x PE, 26E
Cloud/Business service	100%	61,390	61,390	423,593	46	52	8%	@ 6x Rev, 26E
Others	100%	33,057	33,057	228,094	24.7	27.9	4%	@ 0.5x rev, 26E
CORE		784,047	772,890	5,332,944	577.9	653.3	98%	
Net CASH		(392)	(392)	(2,703)	(0.3)	(0.3)	0%	2026 net cash
NAV (pre holdco discount)		883,857	883,857	6,098,612	661	747		
Less holdco discount	-10%	(91,921)	(91,921)	(634,256)	(69)	(78)	-12%	
NAV		791,936	791,936	5,464,357	592	670		

Sensitivity Analysis for Weixin Agent/Xiaowei incremental inference costs and margin implication

Exhibit 5: Our base case shows Xiaowei inference costs may take up 0-5% of EBIT in 4Q26 (swinging for per 1M token inference cost and user penetration/adoption rate)

4Q26E inference cost as % of EBIT

Adoption rate (X of base case): 1X adoption rate refers to 6%/15%/6% of total Weixin users using agent transaction/text generation/multi-modal generation respectively

		0.50X	0.75X	1.00X	1.25X	1.50X
Unit inference cost (US\$/1M tokens)	0.03	0%	1%	1%	1%	1%
	0.05	1%	1%	1%	2%	2%
	0.07	1%	2%	2%	3%	3%
	0.09	1%	2%	3%	3%	4%
	0.11	2%	2%	3%	4%	5%

Source: Goldman Sachs Global Investment Research

Exhibit 6: With the 2027 annual impact of 0-14% of EBIT, given potentially lower blended 1M token price over time and different adoption rate

2027E inference cost as % of EBIT

Adoption rate (X of base case): 1X adoption rate refers to 12%/28%/13% of total Weixin users using agent transaction/text generation/multi-modal generation

		1.00X	1.50X	2.00X	2.50X	3.00X
Unit inference cost (US\$/1M tokens)	0.01	0%	1%	1%	1%	1%
	0.03	1%	2%	3%	4%	4%
	0.05	2%	4%	5%	6%	7%
	0.07	4%	5%	7%	9%	11%
	0.09	5%	7%	9%	11%	14%

Source: Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Tencent Holdings

Valuation methodology: We are Buy rated on Tencent (0700.HK), with a 12-m SOTP-based TP of **HK\$670**.

Key risks: Below-expected progress in AI initiatives; Higher-than-expected AI-related investment; More intense industry competition in performance-based advertising; Unexpected delays in game launches/Banhao approvals; Moderated growth in FinTech and Cloud businesses; Slower-than-expected AI development progress; Reinvestment risk.

Disclosure Appendix

Reg AC

We, Ronald Keung, CFA, Lincoln Kong, CFA, Steve Qiu, Damian Xie and Iris Xiao, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Contributing Authors: Ronald Keung, CFA Goldman Sachs (Asia) L.L.C., Lincoln Kong, CFA Goldman Sachs (Asia) L.L.C., Steve Qiu Goldman Sachs (Asia) L.L.C., Damian Xie Goldman Sachs (Asia) L.L.C., Iris Xiao Goldman Sachs (Asia) L.L.C..

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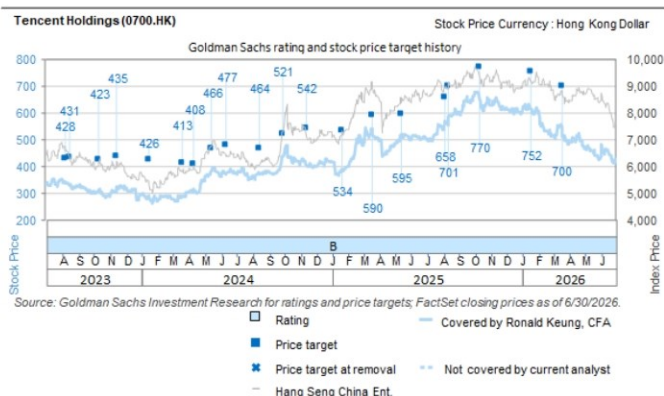
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Target price history table(s)

Tencent Holdings (0700.HK)

Date of report Target price (HK\$) Closing price (HK\$)

18-Mar-26	700.00	550.50
18-Jan-26	752.00	617.50
12-Oct-25	770.00	651.50
13-Aug-25	701.00	586.00
05-Aug-25	658.00	559.00
14-May-25	595.00	521.00
19-Mar-25	590.00	540.00
20-Jan-25	534.00	389.80
13-Nov-24	542.00	403.80
29-Sep-24	521.00	437.80
14-Aug-24	464.00	373.80
12-Jun-24	477.00	370.80
15-May-24	466.00	381.80
11-Apr-24	408.00	315.00
20-Mar-24	413.00	288.80
15-Jan-24	426.00	289.40
15-Nov-23	435.00	322.60
11-Oct-23	423.00	311.00
16-Aug-23	431.00	328.80

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